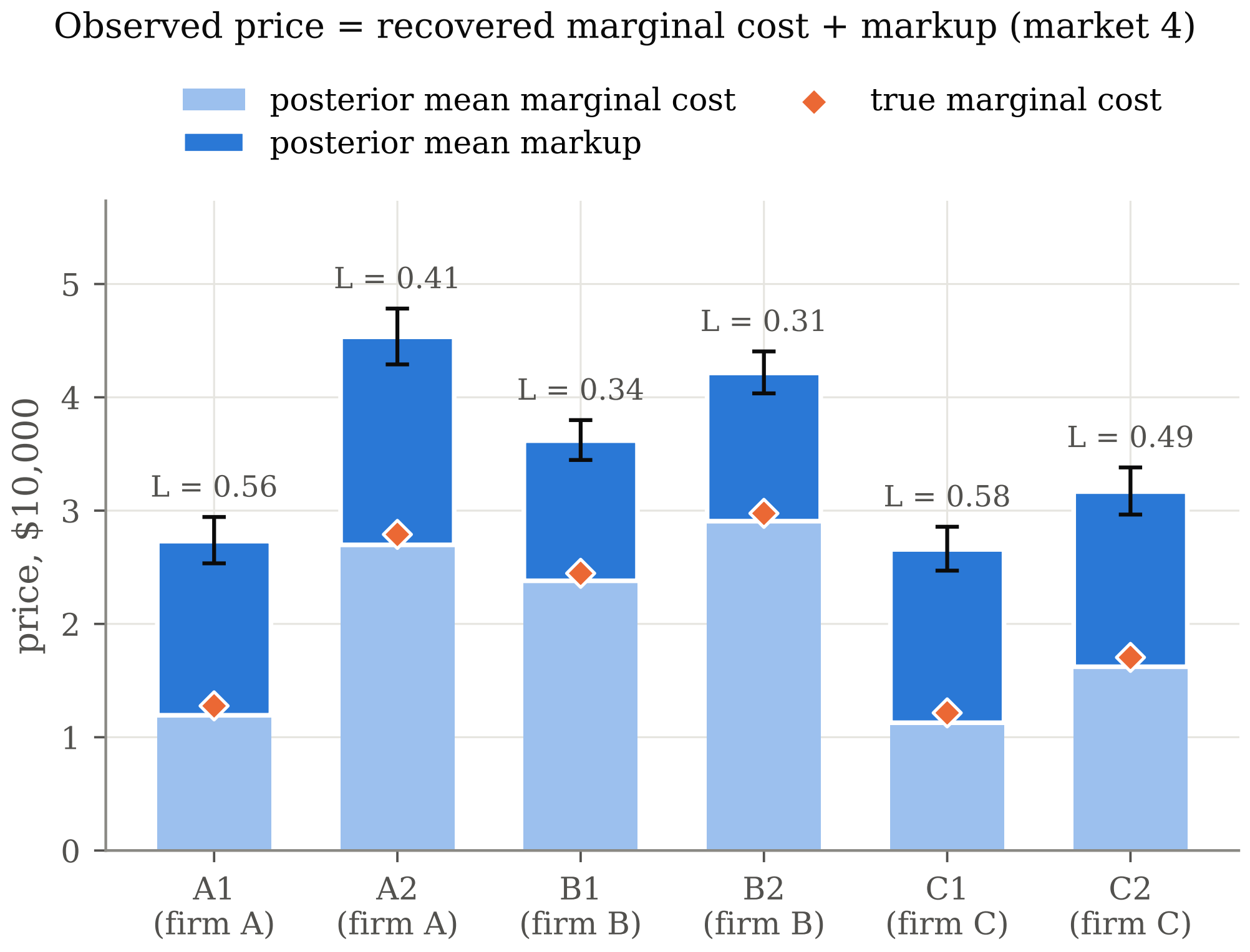
Observed price = recovered marginal cost + markup (market 4)
posterior mean marginal cost
posterior mean markup
true marginal cost
price, $10,000
0
1
2
3
4
5
L = 0.56
L = 0.41
L = 0.34
L = 0.31
L = 0.58
L = 0.49
A1
(firm A)
A2
(firm A)
B1
(firm B)
B2
(firm B)
C1
(firm C)
C2
(firm C)